CASE STUDY 03 / 05

Billing & Payroll Close Packet

Invoice reconciliation • aged receivables • wage calculation controls

BUSINESS SCENARIO

A back-office coordinator closes a four-invoice receivables ledger and prepares a weekly gross-pay review for five fictional nonexempt employees. The assignment requires mathematical reconciliation, dispute logging, rate verification, and documented approval gates.

COMPLETED DELIVERABLE Invoice support, applied credit and payment ledger, A/R aging, employee time validation, gross-pay calculation, and exception approval notes.

ROLE COVERAGE

Billing Clerk • Payroll Clerk • Data Processor

EVIDENCE AT A GLANCE

$2,895.00	$4,843.63	0
CLOSING A/R	WEEKLY GROSS PAY	UNRECONCILED CENTS

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Portfolio disclosure: All organizations, records, people, and transactions are fictional. This is a simulated work product, not a claim of past paid employment or client work.

01 / FINANCE CONTROL COVER

Scope, assumptions, and approval boundaries

Control	Working rule
A/R snapshot	As of 2026-10-27; sample excludes tax computation and makes no tax-exemption claim
Payments	Posted receipts only; no anticipated receipts included
Credit memo	CR-26008 for $100 against INV-26042; approved training sample
Payroll week	2026-10-19 through 2026-10-25, one fixed seven-day workweek
Payroll status	Gross earnings only, not a legal net-pay calculation or payment instruction
Hourly employees	All fictional workers assumed nonexempt under a simple federal overtime scenario
Overtime logic	Hours over 40 in a workweek paid at 1.5× the regular rate
Rounding	Each monetary earning line rounded to nearest $0.01, half up

IMPORTANT LIMITATION

This packet does not calculate tax withholding, benefits, garnishments, employer payroll taxes, state-law exceptions, or complex regular-rate adjustments. Actual payroll requires current law, approved timecards, payroll-system controls, and authorized reviewers.

Internal source documents

- Service delivery log SL-1027; invoice register INV-2026-10; remittance ledger RCPT-10; credit memo CR-26008.
- Approved timecard export TIME-2026-W43; hourly-rate master RATE-2026-Q4; exception approval register PAY-QA-43.

02 / INVOICE DETAILS

Itemized invoices (fictional transaction evidence)

Invoice / customer	Service lines (quantity × rate)	Gross
INV-26041 / Alpine Retail	Data cleanup: 16 × $85; reporting setup: 4 × $120	$1,840.00
INV-26042 / Cedar & Co	Data migration: 8 × $95; validation: 2 × $140	$1,040.00
INV-26043 / Westmoor Studio	Dashboard QA: 12 × $110; document prep: 3 × $65	$1,515.00
INV-26044 / Hillcrest Office	Workflow mapping: 6 × $120; admin support: 5 × $55	$995.00

Transactions applied to invoices

Posting ref	Date	Target	Type	Amount
RCPT-991	2026-10-14	INV-26041	Payment	$900.00
CR-26008	2026-10-17	INV-26042	Approved credit	$100.00
RCPT-996	2026-10-20	INV-26042	Payment	$500.00
RCPT-1004	2026-10-16	INV-26044	Payment	$995.00

Tie-out summary

Invoice gross	Less credits	Less posted payments	Closing receivables
$5,390.00	$100.00	$2,395.00	$2,895.00

03 / A/R RECONCILIATION

Invoice status & aging

Invoice	Due	Gross	Credit	Paid	Balance	Age
INV-26041	11-09	$1,840.00	$0.00	$900.00	$940.00	Current
INV-26042	10-15	$1,040.00	$100.00	$500.00	$440.00	12d late
INV-26043	10-01	$1,515.00	$0.00	$0.00	$1,515.00	26d late
INV-26044	11-08	$995.00	$0.00	$995.00	$0.00	Current

Aging bucket	Open balance	Invoices
Current (not due)	$940.00	INV-26041
1–30 days past due	$1,955.00	INV-26042 / INV-26043
31+ days past due	$0.00	None
TOTAL	$2,895.00	3 outstanding invoices

A/R exception review

Reference	Exception	Resolution / next action
AR-EX-01	Credit shown on customer account	Apply $100 CR-26008 only to INV-26042; retain memo link.
AR-EX-02	INV-26043 remains 26 days overdue	Escalate follow-up to A/R owner; do not post a fictitious receipt.
AR-EX-03	INV-26044 balance equals zero	Mark settled and exclude from open balance; preserve in invoice audit.

MATHEMATICAL CHECK

$5,390.00 − $100.00 − $2,395.00 = $2,895.00. Independently, $940.00 + $440.00 + $1,515.00 = $2,895.00. Difference: $0.00.

04 / PAYROLL INPUT REVIEW

Timecard and rate master — approved inputs

Employee	Worker	Hours	Rate	Timecard check
E-101	Taylor Reed	38.50	$22.50	Approved timecard
E-102	Morgan Bell	42.00	$25.00	Approved timecard
E-103	Casey Hart	46.00	$21.75	Approved timecard
E-104	Jordan Wynn	40.00	$28.00	Approved timecard
E-105	Sam Parker	36.75	$19.50	Approved timecard

Pre-payroll validations

01 Match each employee ID to active status and the authorized hourly-rate master.

02 Confirm workweek boundaries and sum paid hours across the same fixed seven-day period.

03 Confirm any flagged overtime hours correspond to approved time records.

04 Calculate regular earnings (up to 40 hours) and overtime earnings (hours over 40 × 1.5 × base rate).

05 Review line-level rounding to cents; reconcile aggregate gross to approved individual earnings.

06 Route unexplained changes in rate, employee status, or time to payroll approver before release.

WORKWEEK CHECK

October 19–25, 2026 is one seven-day week. Do not average hours with another week. All payroll cases here assume one hourly rate with no bonuses, shift differentials, or adjustments.

05 / CALCULATED GROSS PAYROLL

Reviewed wage register (gross only)

ID	Reg h	OT h	Rate	Regular pay	OT pay	Gross
E-101	38.50	0.00	$22.50	$866.25	$0.00	$866.25
E-102	40.00	2.00	$25.00	$1,000.00	$75.00	$1,075.00
E-103	40.00	6.00	$21.75	$870.00	$195.75	$1,065.75
E-104	40.00	0.00	$28.00	$1,120.00	$0.00	$1,120.00
E-105	36.75	0.00	$19.50	$716.63	$0.00	$716.63

Calculation checks

E-101 / Taylor Reed: 38.50 regular hours × $22.50 = $866.25 gross.

E-102 / Morgan Bell: 40.00 regular hours × $25.00 + 2.00 overtime hours × 1.5 × $25.00 = $1,075.00 gross.

E-103 / Casey Hart: 40.00 regular hours × $21.75 + 6.00 overtime hours × 1.5 × $21.75 = $1,065.75 gross.

E-104 / Jordan Wynn: 40.00 regular hours × $28.00 = $1,120.00 gross.

E-105 / Sam Parker: 36.75 regular hours × $19.50 = $716.63 gross.

PAYROLL CONTROL TOTAL

Approved weekly gross earnings = $4,843.63 across 5 employees. The register does not contain net-pay figures, withholding estimates, or disbursement instructions.

06 / CLOSEOUT, APPROVALS & SOP

Exceptions and supervisor release gates

Gate	Evidence	Disposition
Invoice arithmetic	Service lines sum to invoice gross	Passed
Credit authorization	CR-26008 assigned to one invoice	Passed
Cash application	All 3 recorded payments match the ledger	Passed
A/R aging	Due dates measured as of Oct 27, 2026	Passed
Time approval	5/5 source timecards marked approved	Passed
Overtime	2 employees over 40 hours reviewed	Passed
Payroll payment	Taxes, deductions and net pay are not computed	Not released

Close SOP

01 Lock the invoice/timecard source exports and record their batch identifiers.

02 Confirm service quantities, prices, credit authorizations, and cash postings.

03 Prepare aging on the stated cutoff date and reconcile the open-invoice total.

04 Validate employee status, pay rate, hours, and overtime classifications.

05 Issue a second-person reconciliation and resolve any differences before posting.

06 Forward only approved results into authorized accounting/payroll systems.

Reference for federal overtime baseline: https://www.dol.gov/agencies/whd/overtime

CONTROLLED RELEASE

Control	Final result
Document owner	Billing and Payroll Operations / Second-Level Reviewer
Review state	A/R reconciled; gross-pay training register reviewed; payment release excluded
Review date	2026-10-27
Data classification	Fictional sample / no real personal, financial, or medical data

07 / SOURCE-BACKED CONTROLS

Independent A/R and payroll input reconciliation

Companion CSV inputs reproduce all eight invoice service lines, four posted financial transactions, and five approved weekly timecards. Independent Decimal calculations regenerate the finished A/R and gross-pay balances.

Check	Result	Control conclusion
8 invoice service lines sum	USD 5,390.00	Reconciled
Less 1 approved credit	USD 100.00	Credit evidence retained
Less 3 real posted receipts	USD 2,395.00	No fictitious receipts
Closing accounts receivable	USD 2,895.00	Zero arithmetic difference
Gross payroll, 5 employees	USD 4,843.63	Two overtime employees
Total withholding / net pay	Not calculated	Not a payment release

Review of a rejected input

A separate exception file contains an unapproved 43.00-hour entry for E-102. The authoritative approved timecard says 42.00 hours. The unapproved value is not used. With a $25 rate, the unauthorized extra hour would increase gross by $37.50, a material control failure.

Entry	Hours	Correct gross	Decision
Authorized E-102	42.00	$1,075.00	Include
Unapproved E-102	43.00	$1,112.50	Reject / hold

08 / OPERATIONAL HANDOFF

Review-ready close and testing instructions

Review sequence

- Recalculate each invoice from quantity × rate.
- Subtract exactly the posted receipts and approved credit from the matching invoice.
- Age only positive open balances at 2026-10-27.
- Verify the timecard source has manager approval and matches the rate master.
- For assumed FLSA-covered, nonexempt staff, apply 1.5× to time over 40 hours in the single workweek.
- Recompute dollar totals with Decimal arithmetic and second-level approval; do not issue payments.

File	Purpose
SOURCE_invoice_service_lines.csv	Source calculation evidence
SOURCE_posted_receipts_and_credits.csv	Authorized application evidence
FINAL_AR_tieout.csv	Invoice-level closing balance register
SOURCE_approved_timecards.csv	Five controlled workweek inputs
FINAL_verified_gross_payroll.csv	Five accurate gross-pay lines
EXCEPTION_rejected_unapproved_timecard.csv	Proves stale/unapproved input is not silently posted

Federal baseline: https://www.dol.gov/agencies/whd/overtime. This example does not cover all state/federal pay rules, regular-rate adjustments, tax withholding, or actual disbursement.

DEEP-DIVE CASE FILE / FIN-01

Month-end billing: 24-invoice independent close

A second synthetic A/R close extends the original four-invoice case. Tax, payroll deductions and government filing are out of scope; no real invoices or wages are represented. All amounts are in U.S. dollars and each posted payment references an existing invoice.

Reconciliation item	Amount (USD)	Independent evidence
Gross 24-invoice charges	$18,520.00	SOURCE_extended_invoices_24.csv
Posted customer receipts	$5,815.00	SOURCE_extended_posted_payments_13.csv
Approved credit memos	$70.00	SOURCE_extended_approved_credits_2.csv
Ending open receivables	$12,635.00	FINAL_extended_AR_tieout_24.csv
Control difference	$0.00	Gross - receipts - credits - open

Control design: three-way match

- Invoice-to-source: confirm service units, approved rates and due date from the source charge register.
- Receipt-to-invoice: verify invoice ID, amount, posting date, and duplicate receipt IDs before allocation.
- Credit-to-authorization: allow only approved credits; retain justification and audit evidence.
- A/R tie-out: independently sum all 24 open balances, including full payments and partial payments.
- Unapplied cash: unmatched RCPT-EXC-01 ($50) remains outside customer A/R until researched.

DEEP-DIVE CASE FILE / FIN-02

Exception management and close calendar

Exception class	Detection	Action / signoff
Unmatched receipt	Invoice ID absent from charge register	Hold in unapplied cash; request remittance
Potential duplicate receipt	Repeated receipt ID / same remittance	Block duplicate posting; investigate
Overpayment	Payment > open invoice balance	Hold excess; obtain customer direction
Unapproved credit	Missing approval	Reject against A/R until authorized
Unapproved timecard	Supervisor approval absent	Exclude from gross payroll preview
Missing rate	Employee not in approved rate table	Escalate before any pay calculation

Two-person release and audit trail

Stage	Preparer responsibility	Reviewer responsibility
Day 1 capture	Import invoice/receipt/credit sources	Confirm source count and schema
Day 2 reconcile	Calculate open A/R and exceptions	Repeat sums independent of preparer
Day 3 close	Resolve holds; document unpaid items	Approve status and log changes
Publish	Export approved summary and read-only PDF	Confirm period, page count, version and access

DEEP-DIVE CASE FILE / FIN-03

Independent calculations and evidence grading

Total source value = $18,520.00; receipts applied = $5,815.00; approved credits = $70.00; open receivables = $12,635.00. The workbook includes cell-based formulas for independent re-performance. A deliberately unmatched $50 receipt is not included in the posted receipt count.

Illustrative line review

Invoice	Billed	Paid	Credit	Open
BILL-3101	$220.00	$220.00	$0.00	$0.00
BILL-3102	$360.00	$180.00	$0.00	$180.00
BILL-3103	$520.00	$260.00	$0.00	$260.00
BILL-3104	$700.00	$700.00	$0.00	$0.00
BILL-3105	$900.00	$450.00	$0.00	$450.00
BILL-3106	$1120.00	$560.00	$0.00	$560.00
BILL-3107	$880.00	$880.00	$0.00	$0.00
BILL-3108	$1080.00	$540.00	$0.00	$540.00
BILL-3109	$1300.00	$650.00	$0.00	$650.00

Payroll specialization notes

The original payroll register demonstrates regular-time and overtime gross-pay math. Real payroll operations also require jurisdiction-specific taxes, deductions, wage-and-hour rules, classification, approved rates, paid time off, and secure approval controls; none are approximated in this fictional gross-only workbook. Federal overtime is generally one-and-a-half times the regular rate after 40 hours in a workweek for covered nonexempt workers; local exceptions or other rules may apply.

Reference: U.S. Department of Labor, Wage and Hour Division: https://www.dol.gov/agencies/whd/overtime

Professional handoff

Release: 24-line invoice control register, 13 posted receipts, two authorized credits, balanced A/R detail, deliberately unmatched cash exception, reviewer checklist, and Excel calculation workbook. No false assertion of a payroll processor approval or live bank posting is made.